

Astral Ltd (ASTRA IN) vs Supreme Industries (SI IN) — Which Is the Better Business, and Which the Better Investment?

Comparison memo · 15 September 2026 · analysis, not investment advice

Companion to [Astral](#) · [key questions](#)

Updated 15 September 2026. The first version of this memo described Astral's chemicals demerger as live. **It was withdrawn on 29 July 2026** — see §5.3, which is now void, and §3. The correction **strengthens** this memo's conclusion: the demerger was the single best argument for Astral over Supreme, and it no longer exists. No valuation figure changes; the withdrawal predates every price and estimate used here.

0. The answer, up front

Astral has the better product franchise. Supreme has the better company. Supreme is the better investment, and it is not close on the numbers.

Those three statements are not in tension, and separating them is the whole point of the exercise. Astral earns a materially higher margin on every kilogram of pipe it sells — a ~19.5% plumbing EBITDA margin against a Supreme piping segment running at roughly 8% EBIT — because it is the premium CPVC brand and Supreme is the volume leader in a broader, more commoditised mix. But Astral converts that better product economics into **worse returns on capital** (FY26 ROCE ~19.9–20.6%, ROE 14.0%) than Supreme does with its inferior margins (ROCE 23.7%, RoNW 15.5%), because Supreme allocates capital with a stated 25% RoCE hurdle and pays out half its earnings, while Astral spent ₹1,400cr over four years to grow revenue 49.5% and profit 9.1%, and is now demerging the result — a demerger it then withdrew five weeks after approving it.

On the stock, the gap is wider still:

	Astral	Supreme
Price / market cap	₹1,411.40 · ₹37,917cr (13 Sep)	₹3,411.55 · ₹44,580cr (11 Sep)
P/E on FY26 earnings	70.9x	~42.5–43.7x consolidated (48.9x standalone)
P/B	~10.2x (derived)	~6.8x
Dividend yield	0.28%	1.03%
FY26 ROCE	~19.9–20.6%	23.7%
Payout ratio	~20%	~50%
Street target vs spot	₹1,543 → +9.3% (25 reports)	₹4,045 → +18.6% (29 analysts)
Implied P/E on FY28E	~40–45x	~30–34x

Supreme is roughly 40% cheaper on trailing earnings, a third cheaper on book, yields nearly four times as much, earns a higher return on capital, and has more expected upside on the street's own numbers. Astral would have to be a much better business than Supreme to justify that, and on returns on capital — the measure that actually matters — it is not.

Astral had one offsetting argument and it has been withdrawn. Until 29 July 2026 it carried a dated catalyst — a chemicals demerger that would have forced the market to price its two halves separately — and that was the strongest case for owning it over Supreme. The board cancelled the scheme on the recommendation of a Big Four firm, concluding the chemicals arm cannot stand alone. **The valuation tension survives; the event that would have resolved it does not.**

The single most useful thing this comparison establishes, though, is that these are not two investments. They are one.

1. What each company actually is

Astral is a premium plumbing brand (₹6,569cr FY26 revenue, ~270,000 MT) with a bolted-on chemicals arm it tried and failed to demerge. Plumbing is 71% of revenue and ~86% of EBITDA; paints and adhesives are 29% of revenue and ~14% of EBITDA. It holds 25–30% of the Indian CPVC market (some sources say ~50%), ~5% of PVC, and sells through 3,610+ distributors and ~251,000 dealers. On 25 June 2026 the board approved demerging the chemicals business into a separately listed **Astral Chemie** on a 1:1 entitlement; on **29 July 2026 it withdrew the scheme**, after a Big Four review concluded the chemicals business **"lacks the necessary scale and financial strength to support organic and inorganic growth as a standalone entity."** The chemicals arm therefore stays inside, funded by plumbing, indefinitely.

Supreme is India's largest plastics processor (₹11,218cr FY26 revenue, **753,907 MT** — 2.8x Astral's tonnage) across four segments, plus a 30.78% stake in the listed styrenics maker **Supreme Petrochem**:

Supreme segment	Scale (9M FY26)	Segment EBIT margin	Character
Plastic piping	₹5,200cr	~7.4–8.0%	The core. Includes agri pipes — monsoon- and crop-price-dependent
Packaging	₹1,190cr	~8.6%	Protective packaging, cross-laminated and performance films
Industrial	₹920cr	~8.0%	Material handling, crates, auto components
Consumer	₹310cr	~15.3%	Furniture. Smallest, highest margin, currently shrinking
Supreme Petrochem (30.78%)	Associate	n/a	FY26 PAT ~₹328cr; adds ~₹100–140cr/yr to consolidated profit

The structural difference is **mix, not quality of management**. Astral sells a branded, specified, plumber-chosen product. Supreme sells a much larger tonnage of a more commoditised basket, including agriculture, where the buyer is a farmer responding to crop prices. That is why Astral earns roughly twice Supreme's margin per kilogram — and why Supreme's volumes are more volatile.

2. First, the finding that reframes both: this is one trade, not two

Run the two companies side by side over the cycle and they are close to indistinguishable in shape:

	Astral FY21	Astral FY26	Supreme FY21	Supreme FY26
Revenue	₹3,176cr	₹6,569cr (+107%)	₹6,372cr	₹11,218cr (+76%)
Net profit	₹408cr	₹535cr (+31%)	₹978cr	₹911cr (–7%)
Net margin	12.9%	8.1%	15.4%	8.1%
EBITDA margin	20.3%	16.2% (–410bps)	~19–20%	13.9% (–550/610bps)
Profit peak	FY24 (₹546cr)	still 2% below it	FY24 (₹1,070cr)	15% below it

Both doubled revenue. Both saw net margin collapse to 8.1%. Both peaked in FY24. Neither has made a new profit high since.

And the honest reading of that is **not** primarily "capital allocation failed" — it is that FY21 was a windfall. Astral's pre-COVID net margin was 7.4% (FY19) to 9.8% (FY20); Supreme's was 8.5% (FY20). **Both companies simply reverted to their structural margins after a PVC-price windfall inflated FY21–22.** This is a correction to the emphasis in the Astral memo, which attributed more of the decline to the diversification than the cross-check supports: a large part of it happened to the whole industry, and the industry leader's margin fell further than Astral's.

The current quarter makes the same point:

Q1 FY27	Astral	Supreme
Volume	flat (56,146 MT)	-14% (157,536 MT)
Piping volume	flat	-15%
Revenue	+15.9%	+4.2%
EBITDA margin	15.5%, +120bps	14.65%, +242bps
FY27 volume guidance	10–15%	15–17% piping, 12–13% overall
Delivered in Q1	0%	-14%

Both companies reported margin expansion on falling or flat volumes in the same quarter, for the same reason: PVC resin prices moved, and the timing flattered cost of goods sold. Neither margin print is company-specific, and both companies are carrying a full-year volume guidance that Q1 has already put badly behind. If you buy either, you are buying Indian PVC prices, channel restocking, the pending anti-dumping duty, and the monsoon. **Owning both is one position, held twice.**

3. Better business — the operating comparison

Where Astral genuinely wins

- 1. Margin per kilogram, by roughly 2x.** Astral's plumbing segment runs ~19.5% EBITDA; Supreme's piping segment ran 7.4–8.0% **EBIT** in 9M FY26 — call it ~12% EBITDA after adding back depreciation. That gap is brand, product mix (CPVC vs agri PVC) and specification-led selling. It is real and durable.
- 2. Better margin defence through the down-cycle.** From the FY21 peak, Astral's group EBITDA margin fell ~410bps; Supreme's fell ~550–610bps. **The premium brand held price better than the volume leader.**
- 3. Share gain in the current quarter.** Astral held volume flat while the industry fell ~10% and Supreme fell 14%. One quarter is not a trend, but it is the right direction.
- 4. The captive CPVC resin plant.** No pipe company anywhere else has backward integrated into CPVC resin. If the claimed ~200bps and ₹120–130cr working capital release land, it widens the margin gap further. (Caveat in §5.)
- 5. Cleaner working capital.** 11.0 days in FY26, down from 17.4; cash conversion 118% of PAT against Supreme's 110%, on a larger net cash balance (₹943cr vs ₹648cr) off a smaller base.

Where Supreme wins, and wins the argument

- 1. Returns on capital, which is the scoreboard.** ROCE 23.7% vs ~19.9–20.6%; RoNW 15.5% vs 14.0%. **Supreme earns more on every rupee employed while earning less on every rupee of sales.** That is the definition of a better-run company operating a worse product.

2. **Capital discipline that is stated and testable.** Supreme applies a **25%+ RoCE threshold to every project** and spent ₹1,402cr of internally funded capex in FY26 with ~₹1,000cr guided for FY27 — more in one year than Astral spent in four — while keeping its returns above 23%. Astral spent ₹1,400cr over four years and watched ROCE fall from a ~28.7% average toward ~20%.
3. **Capital allocation record.** Astral: six transactions in two years, an entry into decorative paints in 2024 — the same year Birla Opus launched with >₹10,000cr of capacity — with 36,000 TPA, reaching breakeven at a 0.1% margin only in Q1 FY27, followed by a decision to demerge the whole chemicals arm — then to cancel that demerger five weeks later, on an external adviser's finding that the arm could not stand alone. Supreme: one bolt-on (Wavin India's pipes division, effective 1 August 2025) squarely inside its existing business.
4. **It returns the cash.** ₹36/share for FY26 (₹11 interim + ₹25 final), ~₹457cr, ~50% payout, 1.03% yield. Astral pays ~₹4/share, ~20% payout, 0.28% yield — retaining cash to fund the ventures that have not yet returned. Given the two capital allocation records, the payout policies are precisely backwards from what you would want.
5. **End-market diversification.** Four segments plus an associate. Astral is a pipes company carrying a sub-scale chemicals arm its own board has declared non-viable alone. Supreme's agri exposure cuts both ways — it caused the Q1 FY27 volume drop — but packaging, industrial and consumer are genuinely different cycles.

Verdict on business quality: Supreme, on capital allocation and returns, despite Astral owning the better product. The most useful way to hold this: Astral's plumbing division in isolation is probably the best single asset across the two companies. Astral the listed company is not, because of what has been done with the cash the division generates.

4. Better investment — the valuation comparison

Trailing

	Astral	Supreme
Market cap	₹37,917cr	₹44,580cr
FY26 net profit	₹534.7cr	₹911.3cr standalone · ~₹1,020–1,050cr consolidated (derived)
P/E	70.9x	42.5–43.7x consolidated
P/B	~10.2x (derived)	~6.8x
Yield	0.28%	1.03%

Astral is priced at a ~62–67% premium to Supreme on trailing earnings and ~50% on book — for a lower return on capital and a quarter of the cash return. There is no version of the operating comparison in §3 that supports that.

Forward, and what each requires

	Astral	Supreme
Street FY28E net profit	₹836–950cr	~₹1,330cr standalone · ~₹1,490cr consolidated (ICICI: 20.8% PAT CAGR FY26–28)
Implied P/E on FY28E at spot	~40–45x	~30–34x
PAT required for a 35x terminal multiple	₹1,083cr = 2.03x FY26	₹1,274cr = 1.40x FY26 (1.25x consolidated)
Street average target	₹1,543 (+9.3%)	₹4,045 (+18.6%)

The reverse valuation is the cleanest statement of the difference. **To justify today's price at a defensible 35x exit, Astral must roughly double FY26 profit. Supreme must grow it about 30%.** Astral's requirement sits above the top of its own street range; Supreme's sits comfortably inside it.

And the sell-side — which is structurally bullish on both — agrees: **+9.3% on Astral against +18.6% on Supreme**, with Astral's targets having been progressively marked down (Motilal Oswal ₹1,950 → ₹1,710 → ₹1,697) while Supreme's have been raised (ICICI ₹3,938 → ₹4,035).

Verdict on the investment: Supreme, clearly. Cheaper on every multiple, higher returns on capital, better capital discipline, four times the yield, more street upside, and materially less that has to go right.

5. The case against this conclusion — taken seriously

I do not think these overturn it, but a comparison that only lists one side's points is advocacy, not analysis.

- 1. Supreme missed its own guidance by more, and its miss is demand, not destocking.** Supreme guided 15–17% piping volume growth and delivered **–15%** in Q1 FY27, a 30-point gap against Astral's 10-point gap. Management attributes it to April destocking and farmers deferring purchases on weak crop prices, with recovery "from mid-September." **If agri demand does not return in Q2–Q3, Supreme's FY27 breaks harder than Astral's**, and a 42x multiple on a company with a 15% volume decline is not obviously safe either.
- 2. Part of Supreme's cheapness is earnings quality.** Roughly ₹100–140cr a year of consolidated profit comes from a **30.78% associate stake in a commodity styrenics business Supreme does not control** — Supreme Petrochem, whose FY26 profit fell. Strip it out and Supreme trades at 48.9x standalone, narrowing the gap to Astral's 70.9x. It does not close it.
- 3. ~~Astral has the event.~~ VOID — and its removal is the largest single change to this comparison.** This memo originally argued that Astral's demerger was a dated, mechanical catalyst within ~12 months, and called it "the single strongest argument for Astral." **The board withdrew the scheme on 29 July 2026.** There is now no scheduled event that forces the market to price Astral's two halves separately, and the disclosure that would have

settled it — the scheme document — will never be filed. Worse, the withdrawal answered the question in the unfavourable direction: a Big Four firm with 30 days and the audited numbers recommended against, and the board agreed the chemicals arm cannot fund its own growth. **The one overhang genuinely removed is the passive selling a spin-off listing would have forced — a one-off technical, worth much less than the structural cost.** Supreme, which never had a comparable catalyst, loses nothing by comparison. (Original text, for the record: "If the scheme document reveals Astral Chemie is materially larger and better than the ₹1,266cr / ~8% margin version — particularly if the UK adhesives business travels with it — the sum of the parts can exceed what a consolidated 71x multiple implies. Supreme has no comparable re-rating trigger. This is the single strongest argument for Astral, and it is a bet on a document nobody outside the company has read.")

4. **Astral's franchise is the better one to own for a decade.** If you genuinely believe Indian plumbing premiumises — CPVC share rising, brand mattering more, agri pipes commoditising further — then Astral's 19.5% plumbing margin compounds better than Supreme's 8% piping EBIT, and starting multiple matters less than terminal quality. That argument is coherent. It just requires you to pay 71x for it today, after three years of flat EPS.
5. **Supreme's returns are falling too.** RoCE 32.6% (FY24) → 24.7% (FY25) → 23.7% (FY26); RoNW 20.9% → 17.0% → 15.5%. Supreme is the better business in FY26; it is also a deteriorating one, and its FY26 operating cash flow fell 29% to ₹1,003cr.

6. What would change the answer

Switch toward Astral if: it posts two consecutive quarters of double-digit plumbing volume with segment margin at or above 19% while PVC is flat; **and** the captive CPVC plant commissions on the December 2026 / Q4 FY27 schedule with the +200bps visible; **and** management voluntarily discloses segment PAT and capital employed showing the chemicals arm is better than its ~8% headline. Each is already inside consensus separately, so all three must land — and the third now requires management to choose to disclose, since **the scheme document that would have forced it will never be filed.**

Switch further toward Supreme if: agri volumes recover from mid-September as management expects and Q2 FY27 piping volume turns positive; **and** the pending PVC anti-dumping duty lands, which helps Supreme's larger tonnage disproportionately; **and** FY27 capex of ~₹1,000cr goes in at the stated 25% RoCE hurdle, arresting the ROCE decline.

Conclude neither if: Q2 FY27 shows volumes still falling at both. That would mean the FY26 recovery was restocking, the Q1 margin expansion was resin timing at both companies, and the whole sector is trading at 40–70x a cyclical peak in margin with a cyclical trough in volume. **On the current evidence that is the single most likely adverse scenario, and it is the reason this memo's conclusion is "Supreme over Astral" rather than "buy Supreme."**

7. Disclosure gaps and source quality

Primary filings for both companies were unreachable from this environment (BSE/NSE, both IR sites, rating-agency and broker PDFs, screener/trendlyne). **All figures are from secondary coverage and must be re-verified.** Specific items that failed to reconcile or are derived:

- **Supreme's FY26 consolidated net profit is not directly sourced.** ₹911.29cr is standalone; the consolidated figure of ~₹1,020–1,050cr is **derived** two ways (from the quoted 42.5x P/E, and from RoNW 15.5% × book value ₹502 × 13.07cr shares). The Astral/Supreme P/E comparison depends on it.
- **Supreme Petrochem's FY26 profit is reported as "₹3,299 crore on revenue of ₹54,063 crore"** in one source — a unit error for ₹329.9cr and ₹5,406cr, confirmed by two other reports at ₹327–330cr. Treat that source class as unusable.
- **Supreme's FY26 revenue appears as ₹11,218cr, ₹11,217.67cr and ₹11,320cr** across sources (revenue from operations vs total income).
- **Supreme's segment EBIT margins are 9M FY26, not full-year** — Q4 FY26 EBITDA rose 50% YoY, so full-year segment margins are better than the 7.4–8.0% piping figure used here. The direction of the Astral-vs-Supreme margin comparison survives; the magnitude may narrow.
- **Astral's book value, ROCE and net worth are derived**, and its FY26 ROCE is quoted at 19.88%, 20.6% and "28.66% on an average basis" by the same source. This memo uses ~19.9–20.6%.
- **Prices are from different days** — Astral 13 September (₹1,411.40), Supreme 11 September (₹3,411.55). Astral fell 5.5% in the week to 13 September, which improved its relative valuation versus the 7 September figures used in the Astral memo. Re-run both on one date before acting.

Sources

Supreme Industries — results and financials

- FY26: revenue ₹11,218cr (+7%), EBITDA ₹1,554cr (+8%), PAT ₹911.29cr, volume 753,907 MT (+12%), value-added products ₹4,677cr (+15%), debt-free with ₹648cr cash at 31 Mar 2026 (ScanX)
- FY26 detail and the Wavin India pipes acquisition effective 1 August 2025; FY26 capex ₹1,402cr internally funded (Whalesbook)
- Q4 FY26 earnings call: 12% volume growth, operating profit +7%, FY27 guidance of 15–17% piping and 12–13% overall volume growth, 14–14.5% EBITDA margin, ~₹1,000cr capex, and a stated 25%+ RoCE threshold on all projects (ScanX)
- Q1 FY27: revenue ₹2,717.66cr (+4.16%), standalone PAT ₹207.76cr (+17.14%), consolidated PAT ₹280.72cr (+39%) on associate income, volume 157,536 MT vs 183,793 MT (–14%), EBITDA margin 14.65% vs 12.23% (Free Press Journal)
- Q1 FY27 segment volumes: piping –15% (value flat), packaging –10% (value +9%), industrial –6% (value +24%), consumer –22% (value –11%); April destocking and farmers deferring on weak crop prices; recovery expected from mid-September (Investing.com call transcript)
- FY25 annual report analysis: FY21 revenue ₹6,372cr; FY22 PAT ₹968.5cr, FY23 ₹865.3cr, FY24 ₹1,069.7cr, FY25 ₹960.9cr (–10.2%); RoNW 20.9%/17.0%/15.5% and RoCE 32.6%/24.7%/23.7% across FY24/FY25/FY26 (Equitymaster)
- FY21: consolidated PAT ₹978.14cr (+109.27%) vs ₹467.40cr in FY20; became debt-free with ₹759cr cash — the windfall year both companies have since reverted from (Business Standard)
- FY26 operating cash flow ₹1,003cr, down 28.97% from ₹1,412cr; net cash ₹542cr at June 2026; dividend yield 1.03% (Investywise)
- FY26 dividend ₹36/share (₹11 interim + ₹25 final), total payout ₹457cr vs ₹432cr in FY25 (ScanX, 84th AGM)

- 9M FY26 segment revenue and EBIT margins: piping ₹5,200cr at 7.4–8.0%, packaging ₹1,190cr at 8.6%, industrial ₹920cr at 8.0%, consumer ₹310cr at 15.3%; FY27 capex across Patna, Jammu, Gadegaon and Malanpur (Prabhudas Lilladher)

Supreme Industries — ownership and valuation

- Promoter group 48.90% as of 30 September 2025, held through Boon (16.11%), Jovial (16.12%) and Venkteshwar (14.20%) Investment and Trading; M P Taparia chairman (Grokikipedia)
- Supreme Industries holds 30.78% of Supreme Petrochem, with the Rajan Raheja Group holding an equal stake, as of March 2026 (Wikipedia)
- Supreme Petrochem FY26 PAT ₹329.9cr with ₹8 final dividend — the correct magnitude against a widely republished unit error (Whalesbook)
- Price ₹3,411.55 and market cap ₹44,580.08cr at 11 September 2026; P/E 42.50, book value ₹502, P/B 6.97 (Univest)
- ICICI Securities raises target to ₹4,035 (from ₹3,938), rolling to September 2027; models FY27/FY28 margins of 14.7%/14.8% and FY26–28 CAGR of 16.4% EBITDA and 20.8% PAT (Business Today)
- Consensus target ₹4,045 from 29 analysts (Trendlyne)
- Q2 FY27 setup: volume recovery and better realisations expected, aided by PVC price rebound and the minimum import price (Business Standard)

Astral — updated since the key-questions memo

- Price ₹1,411.40 and market cap ₹37,917.28cr at 13 September 2026, down from ₹1,493.50 on 7 September (INDmoney)
- FY26 ROCE 19.88% (28.66% on an average basis), ROE 13.97%, ROIC 11.25%, fixed asset turnover 1.8x (MarketsMojo / Stock Analysis)
- Everything else on Astral — FY21–FY26 financials, segment split, Q1 FY27 detail, the demerger, the CPVC plant, guidance and street targets — is sourced in the Astral memo.

Industry — common to both

- Motilal Oswal plastic pipes sector update, June 2026: Q4 FY26 recovery on demand, channel restocking and a sharp rebound in PVC resin prices; market ₹541bn FY24 to ₹805bn FY27 at 14% CAGR; Astral and Supreme named top picks (Business Standard)
- DGTR recommends anti-dumping duty on PVC suspension resin of \$22–284/tonne (Polymerupdate)
- India sets a US\$766/tonne minimum import price on PVC resin (ChemAnalyst)